TAKE NOTES CAPITAL

FREE GUIDE, SDIRA & RETIREMENT CAPITAL INVESTORS

How to Invest Your IRA in Mortgage Notes

Step by Step | Tax-Free or Tax-Deferred | Backed by Real Property

Your retirement account can earn real estate-backed income, the kind note investors commonly target at 8-12%, with room for more depending on the note and structure. Most people just don't know it's legal.

It's been legal since 1974. Your broker never mentioned it because they can't earn a commission on it.

By **AJ Dent** · takenotescapital.com

LET'S BE HONEST

Your Retirement Money Is Probably Underperforming.

If your IRA or 401(k) is sitting in index funds, you're earning whatever the market decides to give you, historically 7–10% annually, before inflation, with zero control over the outcome.

Meanwhile, mortgage note investors commonly target **8-12% annually**, backed by physical real estate, with multiple exit strategies built into every deal. Depending on the note and how the deal is structured, some come in higher.

> The difference isn't access. It isn't accreditation. It isn't connections. Most people just don't know their retirement account is allowed to do this.

It is. It's been legal since IRAs were created in 1974. Here's exactly how it works.

FIRST THINGS FIRST

What Is a Self-Directed IRA?

A Self-Directed IRA (SDIRA) is an IRA that lets *you* choose the investments, not your broker, not a fund manager, not an algorithm. You direct where the money goes.

REGULAR IRA / 401(K)	SELF-DIRECTED IRA
Stocks, bonds, mutual funds, ETFs	Everything above, PLUS:
That's basically it	Real estate & mortgage notes
	Private lending
	Tax liens
	Precious metals
	Private businesses

> *An SDIRA doesn't change your tax treatment. It changes what you're allowed to buy with the money that's already sheltered.*

THE PROCESS

Five Steps to Your First Note Inside an IRA

This is the exact sequence, start to finish. Most people are fully invested within 4–6 weeks of starting Step 1.

STEP 01

1

Choose an SDIRA Custodian

The custodian holds your account and executes your directions. They don't pick investments, you do.

Every SDIRA needs a custodian: a company that holds the account, processes transactions, and keeps everything IRS-compliant. They are not investment advisors. They follow your instructions.

CUSTODIANS USED BY NOTE INVESTORS

CUSTODIAN	SETUP FEE	ANNUAL FEE	NOTES
Equity Trust	$50	$225–$350	Largest SDIRA custodian. Handles notes well.
Advanta IRA	$50	$150–$250	Faster processing. Popular with note investors.
IRA Club	Free	$150–$295	Good for beginners. Straightforward setup.
Entrust Group	$50	$199–$399	Established. Solid note transaction experience.

THE QUESTION TO ASK EVERY CUSTODIAN

"How many mortgage note transactions do you process per month?" A custodian who hesitates or says "a few" is not the right fit. You want one who does this regularly and knows the paperwork cold.

⏱️ **Timeline:** Account setup takes 1–2 weeks. Don't wait until you have a deal in hand, open the account now so the money is ready when you need it.

STEP 02

2

Fund Your SDIRA

You probably already have money that can move here, tax-free and penalty-free.

- → **Rollover from an old 401(k).** If you have a 401(k) from a previous employer sitting idle, this is your best move. Direct transfer, no taxes, no penalties, no limit on amount.
- → **Transfer from an existing IRA.** Already have a Traditional or Roth IRA? Transfer it to a self-directed version. Same tax treatment, different custodian.
- → **Contribute new funds.** Annual contribution limits apply ($7,000 for 2026, $8,000 if you're 50+). Slower to build, but works alongside rollovers.
- → **Roth conversion.** Convert Traditional IRA funds to a Roth SDIRA. You pay taxes on the conversion now, then all future note income grows completely tax-free, forever.

THE POWER MOVE

An old 401(k) from a job you left three years ago is doing nothing. Roll it into an SDIRA. That capital starts buying mortgage notes within weeks, tax-advantaged, fully legal, zero penalties.

⏱️ **Timeline:** Funding takes 3–7 business days after the account is open. Rollovers from employer plans can take 2–3 weeks depending on the plan administrator.

STEP 03

3

Find a Mortgage Note Investment

Two paths. Same collateral protection either way.

Once your SDIRA is funded, you need a deal. You have two approaches:

PATH A, BUY THE NOTE YOURSELF

Your SDIRA purchases a mortgage note directly. The note is titled in the name of your IRA (e.g., *"Equity Trust FBO John Smith IRA"*). All payments flow into the IRA. All expenses come out of the IRA. You manage the deal.

PATH B, PARTNER WITH AN EXPERIENCED OPERATOR

Your SDIRA lends capital to a note investor. The investment is secured by the mortgage note and the underlying property, same collateral, same protection. The operator works the deal. Your IRA collects the returns.

Most first-time SDIRA investors start with Path B to learn how the process works, then move to direct investing as they get comfortable. Either way, **every dollar is backed by real property.**

> 💡 **Don't let the money sit idle.** Have a deal or a partner lined up before your account is fully funded. An SDIRA earning nothing is better than a savings account, but not by much.

STEP 04

4

Direct Your Custodian to Invest

One form. One wire. Your IRA is now invested in a mortgage note.

Once you've identified a deal, here's the exact sequence:

- → **Review the numbers.** Property value, loan balance, purchase price, exit strategy, projected returns. Confirm the collateral is solid before anything moves.
- → **Submit a Direction of Investment (DOI) form** to your custodian. This tells them exactly where to send the money and under what terms.
- → **The custodian wires the funds** directly to the note seller or operator. You never touch the money.
- → **The note is assigned to your IRA.** Your custodian holds it as a registered asset inside your account.
- → **Payments flow into your IRA.** Tax-deferred if Traditional, tax-free if Roth. Every month.

> ⏱️ **Timeline:** Direction of investment processing takes 3–7 business days. Submit your DOI early, sellers sometimes have tight closing windows.

STEP 05

5

Collect Returns, Tax-Advantaged

This is where a mortgage note inside an IRA becomes a fundamentally different investment.

A note yielding, say, 10% in a taxable account yields the same inside an SDIRA, but with none of the tax drag pulling it down year after year.

TRADITIONAL SDIRA

Income grows tax-deferred. No annual tax on note payments. You pay taxes at withdrawal in retirement, when your rate may be lower.

ROTH SDIRA

Income grows tax-free. You never pay taxes on the gains, not now, not in retirement, not ever. The ideal vehicle for compounding note returns.

THE COMPOUNDING PICTURE

INVESTMENT	RETURN	TAX TREATMENT	NET EFFECT
Savings account	1–2%	Taxed annually	Loses to inflation
Index fund (IRA)	7–10%	Tax-deferred	Market-dependent
Note in SDIRA (Traditional)	8–12%	Tax-deferred	Compounds untaxed
Note in Roth SDIRA	8–12%	Tax-free forever	Full compounding, zero tax

💡 **The Roth math:** A $425/month note payment inside a Roth SDIRA, reinvested into new notes over 20 years, produces over $100,000 in completely tax-free income from a single starting deal.

WHAT YOU NEED TO KNOW

The IRS Rules, Simplified

The rules are straightforward. The penalties for breaking them are not. Work with a custodian who knows note transactions, and these are easy to follow.

PROHIBITED TRANSACTIONS

✗ Buy a note from yourself or immediate family

FULLY ALLOWED

✓ Buy notes from any unrelated seller

- ✗ Use the property personally, even after foreclosure
- ✗ Mix personal funds with IRA funds on the same deal
- ✗ Receive any direct personal benefit before retirement age

- ✓ Partner with unrelated note investors
- ✓ Hold multiple notes in one SDIRA
- ✓ Foreclose on a property (the IRA takes ownership)
- ✓ Sell notes from your SDIRA to any unrelated buyer
- ✓ Reinvest returns into new notes

> **The penalty for a prohibited transaction:** The IRS can disqualify the entire transaction, or the entire IRA. This is not a gray area to freelance in. Use a custodian with real note experience and let them flag anything that looks close to the line.

WHAT IT LOOKS LIKE IN PRACTICE

Real Numbers. Starting With $50,000.

This is a representative scenario, not a guarantee, and not investment advice. It illustrates how compounding works when returns are not taxed annually and income gets reinvested. The notes below are non-performing notes bought at a discount, the higher-risk, higher-reward end of the spectrum. Performing notes more commonly land in that 8-12% range.

Starting Point

Source	Old 401(k) rolled into Roth SDIRA
Opening balance	$50,000
Tax on rollover	Paid at conversion (one-time)
All future income	**Tax-free**

Year 1

Notes purchased	2 non-performing notes at $25K each
Both re-perform at	$380 and $425/month
Annual income	$9,660
Annual return	19.3%
Tax paid	$0

Year 3

Original 2 notes still performing	$9,660/yr
Year 1 income reinvested, 3rd note	+$4,200/yr
Total annual income	$13,860
Approx. portfolio value	$70,000+
Tax paid	$0

Year 5

Active notes in portfolio	4-5 performing notes
Annual income	$20,000+
Original $50K has grown to	$100,000+
Tax paid, ever	$0

Compound this over 15–20 years and you're looking at a retirement account that dwarfs anything a market index would have produced, with real property backing every dollar along *the way.*

COMMON QUESTIONS

What People Ask Before They Start

Q&A

HOW MUCH DO I NEED TO START?

Minimum $15,000–$25,000 to buy your first note outright. This range gives you access to better deal selection and stronger collateral. Some notes are available below this, but the tradeoffs aren't usually worth it at entry level.

WHAT IF THE BORROWER STOPS PAYING?

You (or your operator partner) work the note through its resolution strategies, modification, DPO, short sale, foreclosure. Because you bought at a discount, even the worst-case scenario typically produces a profitable outcome. The property is always the backstop.

CAN I USE A SOLO 401(K) INSTEAD?

Yes. Solo 401(k)s offer similar self-direction with some added benefits, checkbook control and higher contribution limits. If you're self-employed, a Solo 401(k) may be the stronger vehicle. Ask your custodian or a qualified tax advisor which fits your situation.

HOW LIQUID IS THIS? CAN I GET MY MONEY OUT?

Notes are less liquid than stocks. You can't sell them with a click. But a performing note can typically be sold to another investor within 2–4 weeks. Non-performing notes take longer but are still sellable. Plan for a 12–24 month minimum hold on most deals.

DO I NEED TO BE AN ACCREDITED INVESTOR?

No. Mortgage note investing has no accreditation requirement. Anyone can buy notes and anyone can invest through an SDIRA, regardless of net worth or income level.

IF YOU GO THE PARTNERSHIP ROUTE

5 Questions to Ask Before You Fund Anything

If your SDIRA partners with a note operator, your returns depend entirely on who that operator is. The collateral protects your downside, but operator quality determines the upside. Here's how to vet one.

5Qs

→ **"Can I see the collateral file?"**

A legitimate operator shows you the note, mortgage, title search, and property valuation upfront. Hesitation here is a red flag.

→ **"What are the exit strategies for this deal?"**

There should be at least 2–3 realistic exits. One exit means one point of failure. Good operators plan for multiple outcomes from day one.

→ **"What happens if the deal doesn't perform?"**

The right answer involves the collateral: "The property is worth $X, your investment is $Y, here's the recovery path." If they can't explain the downside clearly, they don't understand the deal.

→ **"How do you communicate with investors?"**

Monthly updates? Quarterly? On-demand? Know what you're getting. Good operators send updates proactively, you shouldn't have to chase them for information.

→ **"What's your track record?"**

How many deals have they worked? Average returns? Can they share a case study? Someone with 5 deals and full documentation beats someone with 50 deals and zero accountability.

💡 **The bottom line:** Collateral and numbers solve everything. If an operator can show you both clearly and without hesitation, you've found someone worth working with.

DO THESE THIS WEEK

Your Action Checklist

Five steps. Two hours. By the end of this week, you'll know exactly where your deployable retirement capital is and which path gets it working.

Step 1, Check Your Balances

15 minutes. Log into every retirement account you have.

- → List every IRA, 401(k), or Roth account, current employer and former
- → Note the balance, account type (Traditional or Roth), and whether it's with a current or former employer
- → **The number you're looking for:** How much is sitting in accounts you're not actively contributing to? That's your deployable capital.

Step 2, Find Your Best Rollover Candidate

10 minutes. Identify which account moves first.

- → **Former employer 401(k):** This is your #1 target. Rolls over with zero taxes and zero penalties.
- → **Current employer 401(k):** Check if your plan allows in-service rollovers. Most don't, but some do.
- → **Existing Traditional IRA:** Can transfer directly to an SDIRA. Same tax treatment, different custodian.

Step 3, Compare 2–3 Custodians

30 minutes. Pick one and open the account.

→ Use the custodian table above as your starting point

→ Visit each site, look for setup fees, annual fees, and note-specific transaction experience

→ **Ask:** "How many mortgage note transactions do you process per month?"

→ Don't overthink it. Pick one and open the account. You can transfer later if needed.

Step 4, Decide: Direct or Partnership?

Think on this one. No wrong answer.

→ **Direct investing:** You find and buy notes through your SDIRA. More control, more learning curve, more time involved.

→ **Partnership:** You fund an experienced operator's deal through your SDIRA. Same collateral protection, less active involvement.

→ Most first-time SDIRA note investors start with a partnership, then move to direct investing as they gain confidence.

Step 5, Book a Strategy Call

5 minutes to book. 30 minutes to map your exact path.

Come with: your account balance, account type, and whether you're leaning toward direct investing or partnership.

We'll map out the exact rollover process, timeline, custodian recommendation for your situation, and your first deal path. **Thirty minutes. Your numbers. Your plan.**

📅 → calendly.com/ajdent-tnc/30min

YOUR NEXT MOVE

Take Notes Capital

A community-first note investing business. We buy mortgage notes, create cashflow, and help private investors grow their retirement money with real property backing every deal.

MORE FREE GUIDES

📥 **"7 Ways to Earn Passive Income with Mortgage Notes"**, The full strategy breakdown for investors who are new to notes

📥 **"Note Investing vs Rentals: The Honest Math Comparison"**, Same $30K. Different results. See the numbers side by side.

📥 **"The 60-Second Tape Filter"**, How to screen any note deal in under a minute

CONNECT WITH AJ, *Earn Like You Own The Building. Live Like You Never Bought One.*

📧 EMAIL
ajdent@takenotescapital.com

🌐 WEBSITE
takenotescapital.com

📅 BOOK A CALL
calendly.com/ajdent-tnc/30min

📸 INSTAGRAM
@a.j.dent

📘 FACEBOOK
Aj.dent/tnc

💼 LINKEDIN
ajdenttnc